



REDISTRIBUTION OF WEALTH

A Capital Issue

Experts suggest promoting economic growth and human development to achieve equity

BY SURABHI

► **AS CAMPAIGNING FOR** the General Elections continues, discussions over the distribution of wealth and the possibility of an inheritance tax have been raging in public forums, social media, and dining rooms, bringing back memories of India's flirtation with socialism.

At the heart of the issue lies the vast inequality of incomes in India, highlighted in several reports re-

cently, but experts prescribe a focus on economic growth and human development as policy panaceas.

A working paper titled 'Income and Wealth Inequality in India, 1922-2023: The Rise of the Billionaire Raj' authored by economists Nitin Kumar Bharti, Lucas Chancel, Thomas Piketty, and Anmol Somanchi in March highlighted the increase in inequality in India from the 1980s onwards,

which has seen a significant surge since the early 2000s. "Between 2014-15 and 2022-23, the rise of top-end inequality has been particularly pronounced in terms of wealth concentration," the paper said, adding that by 2022-23, the top 1% income and wealth shares (22.6% and 40.1%) are at their highest historical levels, and India's top 1% income share is among the very highest in the world.

'Survival of the Richest: The India Supplement', a 2023 report by Oxfam India, also highlighted the widening gap between the rich and the poor, particularly in the aftermath of the pandemic. "The top 1% in India now owns more than 40.5% of the total wealth in 2021, while the bottom 50% of the population (700 million) has around 3% of total wealth," it highlighted, and it had sought the implementation of progressive tax measures, such as wealth tax. However,